
CZECH REPUBLIC

2011

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1. Overview of the tax-benefit system

Czech citizens are secured (protected) by three social security systems, i.e. by the social insurance, state social support and social assistance.

The social insurance system addresses such social circumstances as one may get prepared for in advance by depositing certain funds that will serve to solve future social situations. The system includes the unemployment insurance, sickness insurance and pension insurance. Social insurance is funded through contributions made by the employees and employers and by contributions from the state. The system is further complemented with the health insurance.

The state, through the state social support, contributes mainly to the families with dependent children who have encountered a recognised social situation, which the family is unable to manage using its own efforts and means. The system applies the solidarity principle between the high-income families and low-income families, as well as between the childless families and those with children. The state social support benefit concept has been based on the institute of living minimum, stipulated by special legislation and representing a cornerstone in determining the claim on the benefit and its amount. At assessing claims for the benefits, the family property is not tested, while the income is reviewed in case of certain benefits. The income is currently subject to examination for the purpose of claims for the child allowance, social allowance, birth grant and housing allowance. The income is not examined for the purposes of the parental benefit, foster care benefits and funeral grant.

The state, through the social assistance (assistance in material need), provides assistance to persons or families that do not have sufficient income and their overall social and property relations prevent them from exploiting what the society accepts to be basic living requirements. At the same time, those persons are objectively unable to increase their income through one's own work, through the due application of entitlement and claims or through the sale or other disposal of one's own assets and thereby improving their situation through their own actions.

Living and Subsistence Minimums exist as a criterion for Allowance for Living in the system of assistance in material need. Amounts of living minimum are different for single person, first adult in household, another adult in household and for children (three categories according to age) and ensure sustenance and other basic personal needs of the household members. The subsistence minimum, in addition to living minimum, ensures personal needs on surviving level (it contains sustenance and about 40 % of other basic personal needs in living minimum). Housing needs are solved separately, through housing allowance in the state social support system and supplement for housing in the system of assistance in material need.

In general, unemployed persons can receive unemployment benefits for a maximum period of 5 months.

The tax unit is an individual, since 2005 married couples with children are taxed either separately or jointly (using the income splitting method). When a flat rate of income tax (15 %) was introduced on 1st January 2008, this option became irrelevant. Deductible items for spouse under given income and tax credits for dependent children are administered.

1.1. Average worker wage (AW)

The 2011 AW earning level is estimated to be 294 987 ¹ CZK.

2. Unemployment insurance

2.1 Conditions for receipt

The job seeker is not entitled to unemployment benefits if he/she himself/herself without a serious reason has repeatedly terminated in the last 6 months preceding his/her registration as a job seeker a suitable job mediated by the labour office.

The unemployment benefit is not provided if the job seeker refuses without serious personal or family reasons to take up a suitable job or start agreed retraining (*in fact this person cannot be registered as a job seeker*).

A job seeker has a right to unemployment benefit if he/she has: a) gained 12 months of insurance within the pension scheme on the basis of his/her employment or self-employment in the last 3 years preceding the registration; b) applied for the unemployment benefit at respective Labour Office while being registered as a job seeker; c) is not a recipient of an retirement pension on the day on which the unemployment benefit is due to be approved. The Labour Office shall decide whether to provide unemployment benefit.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2009-2010, OECD, 2011, part 5, sections 2 and 3

There are activities considered by law as a substitute period of employment while assessing the entitlement to unemployment benefit:

- a) Preparation of disabled persons for work (a part of work rehabilitation process – Section 72 of Act on Employment);
- b) Drawing a full invalidity pension;
- c) Personal care of a child under the age of 4;
- d) Personal care of a natural person who is, under the terms of a special legal regulation, deemed to be a person dependent on the assistance of another natural person classified as grade II (moderate dependence), grade III (severe dependence) or grade IV (total dependence) 3a), provided he permanently resides with the job seeker and they both contribute to their common needs; these conditions shall not be required if this person is deemed to be a “close person” for the purposes of pension insurance;
- e) Long-term voluntary service exceeding an average of at least 20 hours in a calendar week on the basis of a volunteer contract from the posting organization which was accredited by the Ministry of the Interior, or a public service exceeding an average of at least 20 hours in a calendar week on the basis of a contract;
- f) Personal care of a person under the age of 10 who is, under the terms of a special legal regulation, deemed to be a person dependent as grade I.

Retraining allowance:

A job seeker who attends a retraining / vocational training course offered by a Labour Office and is not the recipient of an old-age pension at the same time has the right to receive a retraining allowance.

The Labour Office decides to award a retraining allowance.

A retraining allowance is provided for the entire period of the retraining course, unless the recipient receives the sick leave allowances.

2.1.1 Employment conditions

Since 1 October 2004, when the new Employment Act came into force, the entitlement to unemployment benefits has been based on the period of contributions on employment policy, which is a mandatory contribution dedicated from monthly salary (1,2 % from salary expenses, see section 10.3).

2.1.2 Contribution conditions

Job or self-employment activity, on the basis of which there is gained 12 months of insurance within the pension scheme in the last 3 years preceding the registration .

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

From 1st January 2009: 65 % in the first two months, 50% in the following two months and 45 % in the remaining months of supporting period of last earned income net of tax and social security contributions; however, the maximum of the benefits can be up to an amount equals 0,58 times of the average wage in national economy within the first three quarters of the calendar year preceding the calendar year in which the application for unemployment benefits was submitted.

From 1st January 2011: In case the jobseeker quits him/herself a job without serious reason or agreed on job termination with his/her employer preceding his/her Labour Office registration, the unemployment benefit amounts to 45% of average monthly net wage for the duration of the benefit period (compared with 65% for the first two months, 50% in the following 2 months and 45% in the remaining months).

During the period of retraining the job seeker engaged in retraining receives 60 % of last earned income net of tax and social security contributions; The maximum rate of retraining allowance shall be set at 0.65 times the average national wage for the first to the third quarter of the calendar year preceding the calendar year in which the job seeker commenced the retraining. In case that job seekers are not entitled to regular retraining allowance the allowance shall be set at 0.14 times the national average wage for the first to the third quarter of the calendar year preceding the calendar year in which the job seeker commenced the retraining course.

2.2.2 *Income and earnings disregards*

From 1st January 2011: The job seeker is allowed to earn half of the minimum wage in a month, however, he/she loses the entitlement to draw unemployment benefits during this time of employment. The monthly minimum wage has been CZK 8000 since 1st January 2007.

2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

2.4 *Benefit duration*

The support period is:

- a) 5 months for job seekers under 50 years;
- b) 8 months for job seekers between 50 – 55 years;
- c) 11 months for job seekers over 55 years.

See 2.1 The unemployment benefit is not provided if the job seeker refuses without serious personal or family reasons to take up a suitable job or start agreed retraining.

A job seeker who has exhausted the entire period of support in the past 3 years before being included in the register of job seekers again, has the right to receive unemployment benefit for the new whole support period if he/she, after exhausting this period, started to work or entered into gainful activity involving the obligation to pay premiums for pension insurance and Government employment policy contributions for a period of at least 6 months.

This period of 6 months shall not be required in cases when the job seeker terminated the employment or gainful activity for health reasons or for reasons set forth in a special legal regulation (e.g. termination of employment due to lay offs etc.) or because the employer breached a fundamental obligation arising from legal regulations, a collective agreement or agreed working conditions. At the same time, the condition concerning the entire period of previous employment must be complied with – see 2.1.2.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

No special treatment as regards providing of unemployment benefits.

2.5.2 *Older workers*

See section 2.4

2.5.3 *Others if applicable*

Disabled people are entitled to retraining allowance, providing they attend a retraining course as a part of work rehabilitation (according to Employment Act), regardless whether they are registered or not as jobseekers.

3. *Unemployment assistance*

3.1 *Conditions for receipt*

3.1.1 *Employment conditions*

None.

3.1.2 *Contribution conditions*

None.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

3.2.2 *Income and earnings disregards*

The job seeker is allowed to earn half of the minimum wage in a month without losing the entitlement to the benefit during retraining (“retraining benefit”). The monthly minimum wage has been CZK 8000 since 1st January 2007.

3.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

3.4 *Benefit duration*

The benefit during retraining is provided for the whole period of retraining. Any time when the job seeker undergoes the retraining, she/he is granted the retraining benefit.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

No special treatment as regards retraining benefits.

3.5.2 *Older workers*

No special treatment as regards retraining benefits.

3.5.3 *Others if applicable*

The disabled person is entitled to the retraining benefit during the period of his/her vocational training, even if he/she is not registered as a job seeker.

4. Social assistance

The social assistance's objective is to prevent social exclusion and deprivation. The state, through social assistance, provides assistance to citizens who need such assistance due to their state of health or their age, who are unable to overcome a difficult life situation or adverse circumstances without help from the state, to persons whose subsistence needs are not sufficiently covered by income from a gainful occupation, pension or sickness insurance benefits, or by other income.

Social assistance includes social services and cash benefits (benefits in material need, benefits for people with disabilities, care allowance). The Act on Assistance in Material Need² lays down the situations of inadequate means of subsistence or housing, and defines emergencies; such situations are known as cases of material need. Those are basically situations where a person or jointly assessed persons do not have sufficient income and their overall social and financial situation prevents them from enjoying basic living standard. At the same time, these persons are objectively unable to increase their income. The Act on Assistance in Material Need also deals with certain special circumstances in life that can only be resolved by immediate assistance.

Payment rates, durations or aspects of means testing of social assistance benefits do not depend on the age of the claimant or his/her family member.

4.1 Conditions for receipt

Benefits of assistance in material need are means-tested. Means (property, income etc.) of all household members - jointly assessed persons are taken into account.

Allowance for living is provided to a person or a family in case of insufficient income to ensure basic needs (except for needs related to housing) and these persons are not able to increase it due to objective reasons. Persons in material need are entitled to an allowance for living if their income or the income of the jointly assessed persons is lower than the amount of living.

Supplement for housing is provided to a person or a family in case of insufficient income to cover reasonable housing costs. A precondition of an entitlement to a supplement for housing is the existence of an entitlement to allowance for living and an entitlement to a housing allowance from the system of state social support. A supplement for housing may be granted (with consideration for the overall social and financial status) to persons who have not been granted the above- mentioned benefits.

Extraordinary immediate assistance is provided in adverse or exceptional situations where persons are not in material need but it would be advisable to provide them with assistance per saltum.

To become eligible to benefits in material need the conditions are: residence, impossibility to increase one's own income by using own efforts, in particular by gainful activities, through due application of entitlements and claims, through the sale or other disposal of the persons' property to remedy his or her present situation. In case of unemployment, the unemployed person has to be registered with the public employment service as a job seeker, be active in job search and accept an offered job or participation in an active employment policy programmes (unless having a serious reason to refuse it) and upon request take up short-term employment or participate in public works or public service organized by municipalities. Effort to obtain income through working is not required from old age and invalidity pensioners, persons over 65, dependent children, parents caring for children, careers of care-dependent person, and persons

² Act no.111/2006 Coll., On Assistance in Material Need, as amended.

who are temporary sick, meeting other prescribed conditions. In case of family with children, proper compulsory school attendance of children is demanded.

Assistance in material need benefits can be received at the same time as other benefit (unemployment benefits, family benefits, and social assistance benefits for disabled or care allowance).

Benefits are designed to motivate people to find work and take on any job, and even a part-time or lower paid job. The system gives (financially) preferential treatment to those recipients of benefits in material need who are active job seekers or who are working: incomes from gainful activities are calculated for in part only (70 % in the case of income from employment, 80 % in the case of sickness insurance and unemployment benefits). On the other hand, recipients who do not collaborate e.g. in job-search receive lower benefits.

Care allowance

The care allowance (hereafter the “allowance”) is provided to persons dependent on another person’s assistance for the purposes of self-care due to their long-term unfavourable health condition and for ensuring self-sufficiency to the extent stipulated in the dependence degree (children under one year of age are not entitled to the allowance).

There are 4 degrees of dependence:

- a) Degree I (slight dependence);
- b) Degree II (medium-heavy dependence);
- c) Degree III (heavy dependence);
- d) Degree IV (total dependence).

When considering self-care for the purposes of determining the degree of dependence, the ability to manage the following acts is evaluated (examples): food preparation, body washing, getting up from a bed, changing positions, sitting, standing and walking abilities, dressing, orientation in the natural environment etc.

When considering self-sufficiency for the purposes of determining the dependence degree the ability to manage the following acts is be evaluated (examples):

verbal, written and non-verbal communication, orientation in respect to other persons and time, and orientation outside natural environment, disposing of money and other valuables, arranging for personal matters, time planning, life planning etc.

The allowance provided to persons below 18 years of age in a calendar month is:

- a) CZK 3,000, in the case of grade I (slight dependence),
- b) CZK 5,000, in the case of grade II (medium-heavy dependence),
- c) CZK 9,000, in the case of grade III (heavy dependence),
- d) CZK12,000, in the case of grade IV (total dependence).

The allowance provided to persons over 18 years of age in a calendar month is:

- a) CZK 800, in the case of grade I (slight dependence),
- b) CZK 4,000, in the case of grade II (medium-heavy dependence),
- c) CZK 8,000, in the case of grade III (heavy dependence),
- d) CZK 12,000, in the case of grade IV (total dependence).

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The amount of the allowance for living is set as the difference between the amount of living of a person/jointly assessed persons and the income of that person/ jointly assessed persons less reasonable housing costs. The amount of living of a person/ jointly assessed persons is determined with regard to income, the opportunities to increase this income, financial status and other circumstances (e.g. costly dietary requirements, the duration of the material need, and an active approach in the search for employment). The amount of living is derived from the living minimum and subsistence minimum and is set on a case-by-case basis based on an evaluation of the person's efforts, opportunities and needs.

The amount of the supplement for housing is calculated in such a manner that the amount by which the income of the relevant person/jointly assessed persons (including any disbursed allowance for living) exceeds the amount of living of that person/jointly assessed persons is deducted from the amount of reasonable housing costs in a given calendar month (reduced by the housing allowance from the system of state social support for the previous calendar month). Reasonable housing costs include rent (up to the limit stipulated by law³), services related to housing, energy costs.

Monthly amounts:

Living minimum

single:	CZK 3,126
first person in household:	CZK 2,880
second and other persons who are not a dependant child:	CZK 2,600
dependant child	
• under 6 years:	CZK 1,600
• 6 - 15 years:	CZK 1,960
• 15 - 26 years:	CZK 2,250

Subsistence minimum:	CZK 2,020
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The necessary costs of housing are not included in the sums of living minimum and subsistence minimum since 01.01.2007.

³ Act no.107/2006 Coll., On One-side Rise in Rent from Apartment, as amended.

Examples of living minimum for:

Single person household:

CZK 3,126

One adult with one child aged 7 years:

2,880+1,960 = CZK 4,840

Two adults and two children aged 5 and 11 years:

2,880+2,600+1,600+1,960 = CZK 9,040.

Subsistence minimum (instead of living minimum) is used for calculation of allowance for living for adult person as a "sanction" for indolent person being out of work for more than 6 months.

4.2.1.1 Irregular additional payments

Extraordinary immediate assistance is provided to persons who find themselves in situations that have to be resolved immediately. The Act⁴ addresses five situations that justify these additional benefits:

- Where persons, due to a lack of funds, suffer from a serious threat to their health. The benefit tops up a person's income so that it is level with the subsistence minimum (or the living minimum in cases of dependent children).
- Where persons are victims of a serious extraordinary event (a natural disaster, storms and gales, ecological disaster, fire, etc.) The maximum amount of the benefit is fifteen times the individual's living minimum, i.e. up to 46,890 CZK.
- Where persons do not have sufficient resources to cover essential one-off expenditure connected, in particular, with the payment of an administrative fee for duplicate copies of personal documents or in cases of monetary loss. The maximum amount of the benefit is the amount of this one-off expenditure.
- Where persons do not have sufficient resources to acquire or repair basic furniture or durables or to cover justified costs relating to the education or special interests of dependent children. The amount of the benefit may be a maximum of the specific expense, but the sum of benefits granted must not exceed ten times the individual's living minimum in one calendar year, i.e. to an amount of 31,260 CZK.
- Where persons are at risk of social exclusion. This concerns, for example, the situation of persons who have been released from custody or from prison, who have left an orphanage or foster care on reaching adulthood, or who have completed treatment for an addiction. A benefit of up to 1,000 CZK may be granted. The benefit may be awarded repeatedly, but the sum of benefits granted in one calendar year may not exceed four times the individual's living minimum, i.e. the amount of 12,504 CZK.

4.2.1.2 Obligations of family members

Assistance in material need is based on a concept of jointly assessed persons. Relevant work-availability or job-search requirements must be met by all members of the household, provided they are not old age and

⁴ Act no.111/2006 Coll., On Assistance in Material Need, as amended.

invalidity pensioners, persons over 65, dependent children, students, parents caring for children, careers of care-dependent person, persons who are temporary sick etc. If the person considered as capable of work does not comply with prescribed conditions of employment activity the amount of allowance of living (calculated for the entire household) is reduced.

The entitlement to unemployment benefits relates strictly to a job seeker himself/herself – it means that this entitlement can be affected only if the job seeker himself/herself does not comply with the legal job search or work-availability conditions; non compliance on the side of his family members can affect only the personal entitlements of those members but not the entitlement of the job seeker himself/herself.

In general, assistance in material need is based on a concept of jointly assessed persons and benefits of assistance in material need are designed to motivate people to work. The system gives (financially) preferential treatment to those recipients of benefits in material need who are active job seekers or who are working. Recipients who do not collaborate e.g. in job-search receive lower benefits.

Unemployed persons have to be registered with the public employment service as a job seeker, be active in job search and accept an offered job (and even a part-time or lower paid job) or participation in an active employment policy programmes and upon request take up short-term employment or participate in public works or public service organized by municipalities. Provided that persons do not fulfil these conditions, they are not deemed to be persons in material need. Relevant work-availability or job-search conditions are not required from old age and disability pensioners, persons over 65, dependent children, parents caring for children (when receiving maternity benefit or parental allowance), careers of care-dependent person, persons who are temporary sick, etc.

With a certain simplification: if the family member considered as capable of work does not comply with prescribed conditions of employment activity she/he is not treated as a person in material need. When calculating allowance for living for the entire family, income (possible income) of this person is included in income of the family decisive for benefit's entitlement but as she/he is not deemed to be a person in material need her/his amount of living is not taking into account and the total amount of allowance for living is reduced by the amount of living of the family member not complying with job search or work-ability conditions.

This rule was introduced by the Act of Assistance in Material Need and has been applied since 2007. Under the previous legislation (Act on Social Neediness), similar situations were solved in different manner. If the family member (one of jointly assessed persons) did not meet the prescribed conditions the benefit of social assistance due to social neediness was not given to the whole family at all.

4.2.2 Income and earnings disregards

See above-mentioned conditions for receipt.

4.3 Tax treatment of benefit and interaction with other benefits

Not taxable. Benefits in material need and social assistance benefits for disabled can be received at the same time as in-work earnings and any other benefit.

4.4 Benefit duration

Benefits of assistance in material need are provided as long as the given conditions are fulfilled. Persons can apply or re-apply for benefits always when they have not sufficient resources for living and the office has to accept and to judge their application.

4.5 *Treatment of particular groups*

In general, benefits in material need have no special treatment as regards particular groups. But for certain persons (see section 4.1) less strict conditions are applicable.

4.5.1 *Young persons*

In the case of dependent children, the living minimum must be used as a base for calculation of benefit amount.

4.5.2 *Older workers*

None.

4.5.3 *Other if applicable*

In the system of social assistance benefit for disabled, there are more than 10 benefits personalized for care-dependent and disabled people. Social assistance benefits for severely handicapped persons assist in addressing the need of transport, adjusted housing, special compensatory aids.

5. Housing benefits**5.1 Conditions for receipt**

Housing allowance is a recurrent, income-tested benefit; income in the previous calendar quarter is tested. The housing allowance is designed to assist low-income families and individuals to cover expenditure connected with housing. The allowance does not cover the whole housing costs; it only makes a contribution to the coverage of housing costs. Housing benefits are granted irrespective of the type of housing. The actual costs of housing paid in the previous calendar quarter are taken into account. Property owners or tenants registered as permanently resident in that property are entitled to a housing allowance if 30 % (in Prague 35 %) of household income is insufficient to cover housing costs and at the same time that 30 % (in Prague 35 %) of household income is lower than the relevant prescriptive costs.

5.2 Calculation of benefit amount**5.2.1 Calculation of gross benefit**

The amount of housing benefit for a calendar month is calculated as the difference between the prescriptive housing costs and the household's decisive income multiplied by a coefficient of 0.30 (0.35 in Prague). Actual housing cost will be used for the calculation of housing benefits, in case actual costs of housing are lower than prescriptive housing costs.

Prescriptive housing costs are differentiated according to type of housing (tenement, cooperative, private), size of municipality (6 categories), number of persons in a household. Amounts of prescriptive housing costs are set by law⁵ and they are valid for one calendar year.

Prescriptive housing costs for rental units in CZK					
Valid from January 1, 2011 to December 31, 2011					
Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	6363	5117	4863	4406	4293
2	9183	7478	7130	6505	6350
3	12557	10328	9872	9056	8852
4+	15744	13055	12506	11521	11276

⁵ Act no. 117/1995 Coll., On State Social Support, as amended.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Prescriptive housing costs for cooperative and private units in CZK					
Valid from January 1, 2011 to December 31, 2011					
Number of persons in household	Size of municipality				
	Prague	over 100 000 inhabitants	50 000 - 99 999 inhabitants	10 000 - 49 999 inhabitants	under 9 999 inhabitants
1	3723	3723	3723	3723	3723
2	5584	5584	5584	5584	5584
3	7818	7818	7818	7818	7818
4+	9950	9950	9950	9950	9950

Decisive income = net income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income from lease and other incomes defined under income tax legislation, after the deduction of contributions to health and social insurance and income tax; and also pensions, sickness benefits, unemployment benefits including similar incomes from abroad. For the purposes of the housing allowance calculation, the decisive income includes parental allowance and child allowance. If the decisive income is lower than the living minimum of the family, the living minimum of the family is used for the calculation.

Housing allowance belongs to state social support, it is not a part of assistance in material need. But: a precondition of an entitlement to a supplement for housing from assistance in material need is the existence of an entitlement to a housing allowance from the system of state social support.

5.2.2 *Income and earnings disregards*

See above.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Housing allowance can be received at the same time as in-work earnings and any other benefit.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

None.

5.4.2 *Older workers*

None.

5.4.3 *Others if applicable*

None.

6. Family benefits

Family benefits (State social support system) consist of:

- i) The benefits related to family income⁶ (child allowance and social allowance (in section 6 , birth grant).
- ii) The benefits provided irrespective of income (parental allowance (in section 7.2), foster care allowances, funeral grant).

6.1 Conditions for receipt

Child allowance is the basic income-tested benefit provided to a dependent child with the objective to contribute to the coverage of costs incurred in his upbringing and sustenance. For purposes of family benefits, dependent child is a child up to the age of compulsory school attendance (under 15 years) and further if the child systematically prepares for future occupation (in full-time education at secondary school and university) or is not able to prepare for future occupation due to health reasons or is not able to work due to disability, but maximum up to the age of 26 years. Entitlement to the *child allowance* is bind with certain income criteria. Income of the family in the previous calendar year must be under 2.4 family's living minimum (for amounts of living minimum see tables in the social assistance section).

Social allowance is a recurrent, income-tested benefit; income from the preceding calendar quarter is tested. The objective of the allowance is to assist families with low income and disabled members to cover the costs of their children's needs. For an entitlement to social allowance, two conditions must be met: i) care for at least one dependent child suffering from a long-term severe disability, a long-term disability or a long term illness or at least one of parent suffers from a long-term severe disability or is a dependent child with a long-term disability or a long term illness; ii) family income not exceeding a fixed limit. The benefit is granted if the decisive family income is less than 2.0times the family's living minimum. The social allowance eligibility is independent on parent's working activity.

Note: Differently to legislation applied up to the end of 2010, except for low income and disability, no other unfavourable life situations (e.g. parent's loneliness, multiple births, child's study) are reflected in the eligibility and the level of social allowance. Social allowance will be provided in this constricted form up to the end of 2011 and after completely cancelled.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Child allowance is provided at three levels depending on the age of the child.

⁶ Income which is taken into account for decisions on entitlement to State social support allowances includes income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income derived from property, etc., and also sickness and unemployment benefits and pensions, including similar income from abroad. The bulk of the income, which is taken into account for the purpose of these allowances, is defined by the income text legislation. Taken into account is net income after deduction of expenses incurred in generating and maintaining that income, and after deduction of income tax, social insurance contributions, contributions towards the State employment policy and towards health insurance.

Amount of child allowance according to the child's age (in CZK per month) in 2011

Age of the Dependent Child	Monthly Amount of Child Allowance
under 6 years	500
6-15 years	610
15-26 years	700

Social allowance for a calendar month is computed as the difference between the living minimum for the child (or the children) and a fraction, in which the numerator is the amount of living minimum for child/children multiplied by the family's relevant income (if relevant family income is lower than living minimum of the family, living minimum of the family is used), and the denominator is the amount of the family's living minimum (for living minimum see section 4.2.1) multiplied by a coefficient of 2.0

$$SA = CMLS - \frac{CMLS \times I}{FMLS \times K}$$

SA Social allowance.

CMLS Child (children) living minimum (three levels based on the child's age).

I Decisive family income = net income from dependent activity (employment), income from business activity and other independent gainful activity (self-employment), income from lease and other incomes defined under income tax legislation, after the deduction of contributions to health and social insurance and income tax; and also pensions, sickness benefits, unemployment benefits including similar incomes from abroad. For the purposes of the social allowance calculation, the decisive income includes parental allowance and child allowance.

If the decisive family income is lower than the living minimum of the family, the living minimum of the family is used for the calculation.

FMLS Living minimum of the family (sum of living minimum amounts of each family member).

K Coefficient is 2.0

Special situations reflected by the coefficient K:

- If the child has a long-term severe disability, CMLS is multiplied by a coefficient of 3.0.
- If the child has a long-term disability, CMLS is multiplied by a coefficient of 2.67.
- If the child has long-term illness, CMLS is multiplied by a coefficient of 1.34.
- If both parents have a long-term severe disability, CMLS and FMLS are multiplied by a coefficient of 1.35.
- If one of the parents has a long-term severe disability, CMLS and FMLS are multiplied by a coefficient of 1.05.

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

6.2.1.1 *Irregular additional payments*

None.

6.2.2 *Income and earnings disregards*

See above.

6.3 ***Tax treatment of benefit and interaction with other benefits***

Not taxable. Child allowance and social allowance can be received at the same time as any other benefit or in-work income.

6.4 ***Treatment of particular groups***

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

Social allowance (see above) is intended for low income families with disabled children or parents.

7. Childcare for pre-school children

Pre-school care facilities are divided into public (state+municipalities) and private. Among public facilities there are crèches for children up to 3 years of age and kindergartens for children from 3 to 6 years of age. There are special kindergartens for physically and mentally handicapped children. Their founders are state, regions, municipalities or associations of municipalities. Components of private facilities are running professional trade “securing childcare for children up to 3 years of age” and two trades concerning childcare for children over 3 years of age and then “parent centres” (citizen associations or public benefit associations) that are attended by small children with their parents. The highest percentage of children is in the last year of kindergarten which is, in fact, preparation for basic school.

- According to Ministry of Industry and Trade, there were 633 licences for securing childcare for children under 3 years of age registered on 31st March 2011.

Participation rate in pre-primary education

Child's age	2003/04	2004/05	2005/06	2006/07	2007/08	2008/09	2009/10	2010/11
under 3 years	25,3 %	26,5 %	25,4 %	23,0 %	23,0 %	24,8 %	26,8 %	27,5 %
3 years	80,0 %	77,3 %	74,6 %	76,6 %	75,3 %	76,5 %	76,4 %	75,8 %
4 years	94,4 %	94,2 %	90,0 %	90,7 %	90,9 %	89,4 %	88,5 %	86,9 %
5 years	96,0 %	96,4 %	95,8 %	93,7 %	93,2 %	92,8 %	91,7 %	91,4 %
6 years	25,0 %	23,8 %	22,7 %	22,3 %	21,6 %	21,0 %	20,7 %	20,5 %
over 6 years	.	.	0,5 %	0,5 %	0,5 %	0,5 %	0,5 %	0,5 %

Source: Institute for Information on Education

- „Category under 3 years of age“ – Out of 26 % of children who attend daily care facilities for children under 3 years of age only 1-2 % of these children attend special care facilities for children under 3 years of age, 25 % of children between 2 – 3 years of age attend daily care facilities for children over 3 years which are not specialized in such small children. In the 1990s, there was a wholesale close down of care facilities for children under 3 years of age in the Czech Republic: from 1.043 of such facilities in 1990 to 46 facilities in 2010. Those facilities were closed down without an adequate compensation. This measure was accompanied by support of domestic care for small children by their parent. The reason was interest in child health protection. The capacity of childcare facilities for small children is insufficient in the Czech Republic at the present time.

According to the Education Act No. 561/2004 Coll. §36 compulsory school attendance shall start at the beginning of the school year following the date when a child reaches six (6) years of age, unless he/she is permitted postponement. A child who reaches six years of age at the period between the beginning of a relevant school year and the end of the calendar year may be admitted to compulsory school attendance in the school year concerned if such a child is physically as well as mentally adequately mature and if his/her statutory representative requests so. The statutory

representative of a child shall be obliged to register the child for compulsory school attendance from 15th January until 15th February of the calendar year during which the child should begin compulsory school attendance.

7.1 Out-of-pocket childcare fees paid by parents

The founder (town, municipality) sets and covers from its budget the amount of non-investment costs associated with child's stay in a crèche according to the Act No. 48/1997 Coll. about public health insurance. The amounts depend on decisions of the founders and could be within the range from CZK 1,000 to CZK 7000 per month. The founder has also the right to decide on reducing monthly payments for specific groups of parents – like unemployed, students and lone parents. In case of private crèche the fee could be within the range from CZK 5,000 to 18,000 per month (or CZK 660 per day).

Regulation No. 14/2005 Coll. of the Ministry of Education, Youth and Sports on pre-school education, which has been valid since 2005, sets that pre-school education of a child in kindergarten is composed of basic fee adjusted in the relevant calendar year by possible fee reduction. The basic fee is set on accepting the child to the kindergarten and by 1 September of the relevant calendar year.

According to this Regulation the basic fee shall be set in such a way as not to exceed 50 % of the real average non-investment costs per child per month in the past calendar year with the exception of expenses on salaries, reimbursements for salaries, or wages and reimbursements for wages, bonuses for work readiness, bonuses for work done on the basis of contract for work out of employment and compensation, social security insurance and state employment policy contribution and health insurance, contributions to funds of cultural and social needs and other expenses emerging from industrial relations, on necessary increase in costs associated with education of disabled children, on school equipment and also expenses on further education of pedagogical staff, on activities that are directly connected to school development and education quality, which are provided from the state budget. The basic fee shall be set for the period from 1 September to 31 August of the following school year for all children in the relevant kindergarten at the same amount. Exempt from the fee is a statutory representative of a child who receives social allowance and personal entity who personally takes care of the child and receives foster care allowances and proves this fact to the head of the kindergarten.

The basic fee might be reduced to 2/3 of the daily rate for a statutory representative whose child attends the kindergarten 4 hours per day on the grounds of reception of parental allowance by the parent. The fee for calendar month shall be paid by 15th day of the following calendar month provided there is no other agreement between the statutory representative and the head of the kindergarten.

The kindergarten head has also the right to decide on reducing monthly payments for socially deprived parents – approximately one half of kindergartens, where fees are usually paid, do not collect money for kindergarten services for certain groups of parents. Care in parent centres is provided either free of charge (if it is provided on volunteer basis by particular mothers) or for a symbolic fee (about CZK 25 for one morning). About 20 % of these centres work on commercial basis.

Private agencies providing childcare are usually used by high income and career-oriented families. Such kind of child care costs CZK 70 – 150 per hour (except Prague) and CZK 130 – 150 per hour in Prague.

Childcare fees are not tax deductible and their amount is not taken into regard in the social assistance system.

Costs expended on running the kindergarten founded by an enterprise under the Education law as a service for its employees, are tax deductible (Act No. 193/2008 Coll., section 24, para. 2, letter j). In case the employer pays to employees regular wage or salary and in addition pecuniary consideration as a reimbursement for kindergarten expenditures (the kindergarten must be provided by other subject), this allowance is tax deductible only if this privilege is founded in employment contract, collective agreement or internal rules of procedure.

Considering non-monetary gains as a reimbursement for kindergarten expenditures, employees are exempt from income tax (Act. No 193/2008 Coll, section 6, para. 9, letter d), only when the employer pays them from fund for social and cultural needs, from social fund, from after-tax profit or they are part of non-taxable expenditures.

7.2 Child-care benefits

The parental allowance.

7.2.1 Conditions for receipt

The parent is entitled to the parental allowance if he/she personally provides full-time and regular care for the child who is the youngest child in the family.

There are exceptions incertain situations concerning disabled children or disabled parents, while receiving parental allowance it is possible to place the child into a pre-school care facility for a limited period only. The condition of personal all day care is considered fulfilled if a child under three years of age attends a crèche or any other institution for less than five calendar days a month and if a child over three years of age regularly attends a pre-school institution for less than four hours a day or for a maximum of 5 calendar days a month. (Every commenced day is counted even though those were only 1 or 2 hours.)

Parental allowance is also provided to parent who has income from gainful activity. But together with a condition of limited placement of a child in a crèche or a kindergarten the other condition has to be met: during the gainful activity of a parent, care of a child has to be ensured by another adult person.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Parental Allowance is provided at four rates that are set at fixed monthly amounts according to duration of drawing – **increased rate** (11,400 CZK), **basic rate** (7,600 CZK), **reduced rate** (3,800 CZK) and **lower rate** (3,000 CZK). A parent may elect to draw Parental Allowance for a period of up to **two, three or four years** of the child. By selecting the period of support, the parent also selects the amount of the Parental Allowance, as follows:

- **faster draw-down**– after maternity benefit or similar benefit for man (hereinafter referred to as MB) at the increased rate (11,400 CZK) until the child is 24 months old; only parents who are entitled to MB of at least 380 CZK per calendar day may request this form of draw down;
- **standard draw-down** – after MB at the basic rate (7,600 CZK) until the child is 36 months old; only parents who are entitled to MB may request this form of draw down;

- **slower draw-down** – after MB or from the birth of the child (if the parent is not entitled to MB) at the basic rate (7,600 CZK) until the child is 9 months old and after it at the reduced rate (3,800 CZK) until the child is 48 months old.

In the case of **disabled children**, a parent is entitled to Parental Allowance at the basic rate (7,600 CZK) until the child is 7 years of age, from the day on which the child is diagnosed as a child suffering from a long-term disability or a severe long-term disability, regardless of the form of draw-down that had been previously selected (prior to the diagnosis of the child's state of health). If the child draws care allowance (according to Act on Social Services), the parent is entitled to half-pay parental allowance. If the child diagnosed as a child suffering from a long-term disability or a severe long-term disability does not draw care allowance, the parent is entitled to parental allowance at the lower rate (3,000 CZK) from 7 to 15 years of the child's age.

7.2.2.2 *Income and earnings disregards*

The parent's income is not tested while receiving parental allowance.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. Parental allowance can be received at the same time as in-work earning (see above), unemployment benefits, benefits of assistance in material need or benefits for disabled.

7.2.4 *Treatment of particular groups*

See 7.2.1: parental care for disabled children and care of disabled parents for healthy children are advantaged – longer period for parental allowance in the first case and the possibility of placing the child to a pre-school care facility for 4 hours a day in both cases.

8. Employment-conditional benefits

None.

9. Lone-parent benefits

In the Czech Republic, there is neither specific social benefit taking into account situation of lone parents nor social benefit acting as a substitute for alimony/maintenance in cases when the absent parent does not pay any child support.

From the social-legal protection of children point of view: parents are provided with, or arrange for them to have, counselling while exercising the rights of the child to maintenance, at their request. Social-legal protection authorities may file court petitions for the performance of maintenance obligations.

Alimony/maintenance payments from the absent parent are taken into account for decisions on entitlement both to family benefits and social assistance. Received alimony/maintenance payments are included in the decisive income of the lone parent family for income-tested state social support benefits/family benefits (child allowance, social allowance, birth grant, housing allowance) as well as for means-tested social assistance benefits /benefits of assistance in material need (allowance for living, supplement for housing). This method of income calculation has remained unchanged since the introduction of OECD tax-benefit models; the same approach was used also in the former system of social assistance.

10. Tax system

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits

- Credit of CZK 23 640 per taxpayer, introduced in 2008.
- Credit of CZK 24 840 per spouse (husband or wife) living with a taxpayer in one household provided that the spouse's own income does not exceed CZK 68 000 in the taxable period.
- *Credit for children:* Payable tax credit of CZK 11 604 (irrespective of the child's own income) if the child satisfies one or more of the following criteria:
 - age below 18
 - age below 26 and receiving full-time education
 - age below 26 and physically or mentally disabled provided that the child is not in receipt of a state disability payment.

10.1.2 The definition of taxable income

10.1.3 The tax schedule

From January 2008, a progressive system of taxation is replaced by a single rate of 15%, levied on gross earnings augmented with employer social security contributions.

10.2 *Treatment of family income*

The tax unit is the individual. The possibility of joint taxation, which was introduced in 2005, has been abolished since 2008.

10.3 *Social security contribution schedule*

Compulsory contributions of 11.0 per cent of gross wages and salaries are paid by all employees into government operated schemes. The total is made up as follows (in %):

Contributions	Percentage of gross earnings		
	Employees	Employers	Total
Health insurance	4.50	9.00	13.50
Social insurance			
Sickness	0.00	2.30	2.30
Pension	6.50	21.50	28.00
State employment policy	0.00	1.20	1.20
Total	11.00	34.00	45.00

The total contribution for employers is 34 per cent of gross earnings.

The contribution consists of the health insurance contribution (9 per cent of gross wages and salaries) and social insurance (25 per cent).

A ceiling on social security contributions is 72 multiple of the national monthly average wage per annum. The ceiling on social security contributions is CZK 1 781 280 per year and CZK 148 440 per month.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

Reference date for all information is **July 1st 2011**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

None.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes enacted from 1st of July 2010 to 1st of July 2011

Government's Policy Statement approved by the coalition cabinet on 4th August 2010 contains the government's task to carry out reforms of public finance with the goal of stopping the growing public debt and setting the parameters of budget policy in such a way as to achieve a balanced budget in 2016. The Government's reform plans imply restrictions also in the welfare system. Consequently, draft act changing certain acts in connection with saving measures in competency of the Ministry of Labour and Social Affairs was approved by the Parliament and was efficient as of 1st January 2011.

As a part of measures focused on fiscal savings, some changes were introduced in the **social benefit systems**. Adjustments in the state social support system (family benefits) consist in the social allowance's constriction to low income families with disabled children or parents and planned abolishment, the birth grant's limitation only for the firstborn and low-income families, the parental allowance's reduction in the total amount during slower draw-down. Minor restrictions and stricter conditions of eligibility apply also to assistance in material need.

In the field of **social assistance**, monthly care allowance in case of grade I provided to persons over 18 years of age decreased from CZK 2000 to CZK 800 (from 1st January 2011)

Changes in the field of unemployment benefits

From 1st January 2011: In case the jobseeker quits him/herself a job without serious reason or agreed on job termination with his/her employer preceding his/her Labour Office registration, the unemployment benefit amounts to 45% of average monthly net wage for the whole duration of the benefit period (compared with 65% for the first two months, 50% in the following 2 months and 45% in the remaining months).

From 1st January 2011: The job seeker is allowed to earn half of the minimum wage in a month but he/she loses the entitlement to draw unemployment benefits during this time of employment.

Changes in the field of social contribution scheme

Changes coming into force from 1st January 2011:

In order to lower deficit of the state budget, following austerity measures in the field of health and social insurance have been proposed:

- The ceiling of assessment base for setting up the contributions to social insurance and state employment policy in 2011 amounts to 72multiple of monthly average national wage; the ceiling of assessment base for advance insurance payments for self-employed persons amounts to 6multiple of the monthly average wage;
- Sickness insurance contributions of employers and self-employed persons was increased from 1,4 % to 2,3 %;
- Employee is entitled to the sickness benefit from the 22nd calendar day of his/her temporary incapacity to work. During the first three weeks an employer provides a compensation wage for working days; however, the compensation for wages, salary or remuneration is not paid for the first 3 days of this period (waiting period).
- Contributions for sickness insurance calculation remains at the amount to 60 % of daily assessment base during the whole time of sickness insurance entitlement;

- Employers with less than 26 employees could use special system which would reimburse half of the refund of wages paid to employees during their sick leave when applying to higher sickness insurance contribution than is required (instead of 2,3 % to 3,3 %).

12.2 Policy changes enacted or announced after 1st of July 2011

Ministry of Labour and Social Affairs has prepared a set of legislative proposals being a part of the Social Reform 2011. In the field of **social benefits**, the main goal of present reform steps is simplification of the social benefit system, making the system less expensive and more efficient, more comfortable access and decrease of administrative burdens for clients, increase in efficiency of state administration's bodies, extended possibility of control, better aiming and directness of social benefits, support of family and working life conciliation. Instruments for reaching these goals are introduction of single pay-point for all non-contribution benefits, reduction in number of benefits by their aggregation in substantial units, distribution of benefits by electronic payment means, simplification of health assessments and its consequences in accordance with international classification. Draft acts containing changes in family benefits, benefits of assistance in material need and a new act on benefits for person with disabilities were submitted to the Parliament. Most of the proposed changes are planned to be efficient as of January 1, 2012

In the field of unemployment benefits are from 1st January 2012 prepared following changes:

- The reference period for drawing unemployment benefits will be shortened from 3 to 2 years. A job seeker will have a right to draw unemployment benefit if he/she has gained 12 months of insurance within the pension scheme on the basis of his/her employment or self-employment in the last 2 years preceding the registration.
- Unemployment benefits will be provided also to those job seekers registered as full-time students who will be at the same time eligible to draw unemployment benefits.
- A natural person who quits, without a serious reason, him/herself or on a base of an employer agreement a suitable job mediated by a Labour Office or with whom an employer terminates his/her job due to a serious breach of duty, will not be eligible to be registered as a job seeker. He/she will be registered at a Labour Office only after expiration of 6 months' period dated from first day of the previous employment mediated by the Labour Office.

With regard to Government's Policy Statement, measures supporting **reconciliation of work and family life** and creating better conditions for employment of parents with small children by development of childcare services are in state of preparation within the Ministry of Labour and Social Affairs (involving implementation of new types of childcare services and development of current one and other related measures in the field of taxation, education and trade).